Pride Dealer Services

National Detail & Condition Reports Company

Executive Summary

Investment Opportunity

$500K–$1.5M
RAISE RANGE

25%
EQUITY AT FULL SUBSCRIPTION

$4,500,000
PRE-MONEY VALUATION

$3.86M
2025 REVENUE (GENERAL LEDGER)

51.3%
2026 GROSS MARGIN (JAN–AUG)

$399.1K
2025 NORMALIZED CASH FLOW

$0
DEBT ON THE BALANCE SHEET

The Story in Five Lines

Repositioned, Not Shrinking	**Gross margin 25.5% → 37.2% → 51.3%**
Durable Enterprise Anchors	**Manheim (Cox) + Dent Wizard, multi-site recurring**
Debt-Free Balance Sheet	**No liabilities on the books — all fifteen accounts nil**
Equity Funds the Expansion	**A full raise launches the new site outright, debt-free**
No Financing Contingency	**Nothing in the plan waits on a lender or a third-party document**

Every figure in this deck comes from the Company's live QuickBooks general ledger (last synced September 12, 2026); 2026 covers January 1 – August 31. Where the federal returns differ, the differences are identified on the Financial Performance slide.

Business Overview

What We Do

Pride Dealer Services provides vehicle reconditioning, condition reporting, detailing, and photography to the wholesale automotive-auction industry — delivered on-site under recurring, per-unit service relationships. The Company has operated continuously since 2020.

COMPANY PROFILE	DETAIL
Legal entity	Florida LLC, taxed as an S-corporation (Form 1120-S)
Formed	July 23, 2020
Business activity (NAICS)	811490 — vehicle reconditioning & auction services
Ownership	Nelson Cajas — 100% (sole owner since the 2025 transition)
Principal place of business	500 E Las Olas Blvd, Fort Lauderdale, FL 33301

Our Services

- **Condition Reports:** Comprehensive on-site vehicle inspection and documentation
- **Vehicle Detail Services:** Professional cleaning and reconditioning
- **Digital Documentation:** Photography and report generation for resale

Enterprise Anchors

Manheim / Cox Automotive

2025 Revenue (all locations)	**$1,530,534**
2026 YTD (Jan–Aug)	**$552,389**
Flagship Site	**Manheim Dallas — $703,460 in 2025**
Status	**Qualified for Manheim Supplier Diversity Program**

Dent Wizard International

2025 Revenue (all locations)	$926,260
2026 YTD (Jan–Aug)	$329,542
Growth Opportunity	Detail + dent repair + CR bundled services

Financial Performance

Income Statement — QuickBooks General Ledger

ITEM	2024	2025	2026 (JAN–AUG)
Revenue	$5,464,666	$3,859,075	$884,836
Cost of goods sold	$4,045,196	$2,424,644	$431,169
Gross profit	$1,419,470	$1,434,431	$453,667
Gross margin	26.0%	37.2%	51.3%
Operating expenses	$914,690	$1,231,092	$204,138
Net income	$504,779	$203,339	$249,529

All three columns come from the live QuickBooks general ledger on one consistent books basis (2026 covers January 1 – August 31, eight complete months). For reference, the federal returns report 2024 revenue of $5,418,432 with $623,923 of ordinary business income and 2025 revenue of $3,858,771 with $150,000 — the differences are return-versus-books adjustments, principally officer compensation ($200,000 and $75,000) and book-tax timing. The general ledger governs throughout this deck.

$1,327,254
2026 REVENUE ANNUALIZED (8 MONTHS)

28.2%
2026 NET MARGIN

$374,293
2026 NET INCOME ANNUALIZED

$249,529
NET INCOME BOOKED THROUGH AUGUST

Balance Sheet — QuickBooks, Current

ASSETS	AMOUNT	LIABILITIES & EQUITY	AMOUNT
Cash — operating accounts	$65,669	Accounts payable	$0
Accounts receivable	$101,071	Credit card (Divvy)	$0
Machinery & equipment	$667	Notes payable — all accounts †	$0
Intangible — goodwill (net)	$3,084,650	Net book equity	$3,252,056
Total assets	$3,252,056	Total liabilities & equity	$3,252,056

$0
TOTAL LIABILITIES ON THE BOOKS

$166,739
CASH + RECEIVABLES, NO CURRENT LIABILITIES

94.9%
GOODWILL AS A SHARE OF ASSETS

$167,407
TANGIBLE ASSETS

Balances per QuickBooks as of September 2026. † **The Company carries no debt on its books.** All fifteen liability accounts — accounts payable, the Divvy credit card, the owner loan, the EIDL and PPP notes, and the $3,000,000 Patrick Mulligan note payable — carry a nil balance; the Mulligan account shows $3,000,000 posted and $3,000,000 removed across its life. The draft 2025 Schedule L still reports a $2,821,500 convertible note, so the return and the books do not yet agree on this item; the executed assumption / novation document is what reconciles them, and it remains the first thing a lender or investor should ask to see. **Goodwill ($3,084,650)** arose from the 2025 buyout of the former co-owner — a non-cash intangible amortized over 15 years (§197), carrying no cash obligation. The owner's capital account stands at $(1,730,388) cumulative, reflecting net draws taken over the life of the business.

Revenue Transition & Margin Bridge

The 2025 revenue decline was a deliberate repositioning during the ownership transition, not a loss of the core business. As the Company consolidated under single ownership, it wound down lower-margin, high-churn accounts and retained its durable enterprise relationships. **The shed revenue was the least profitable: gross profit dollars rose even as the top line fell.**

METRIC	2024	2025	2026 (JAN–AUG)
Revenue	$5,464,666	$3,859,075	$884,836
Gross profit	$1,419,470	$1,434,431	$453,667
Gross margin	26.0%	37.2%	51.3%

All three columns are taken from the QuickBooks general ledger on a consistent books basis, so they are directly comparable. On the tax-return basis the 2024 and 2025 margins are 25.5% and 37.2%. 2026 covers January 1 – August 31.

Retained — The Anchors

The Manheim / Cox Automotive network and Dent Wizard International: recurring, per-unit enterprise work that is the Company's most profitable revenue.

Wound Down in the Transition

Lower-margin and non-core accounts: South Florida Auction ($541,493 in 2025, zero in 2026), Manheim Statesville ($411,204), North Fort Lauderdale Subaru ($222,246), Sawgrass Infiniti ($159,369) and Music City Auto Auction ($139,513).

What Keeps the Margin Climbing

Mix Discipline

Per-unit enterprise work only; no return to high-volume, low-rate accounts **(the 2025–26 step-up)**

Scheduling & Routing

Idle time↓, throughput↑ **(+1–2 pts)**

QA / SOP

Rework↓, consistency↑ **(+0.5–1 pt)**

Rate Indexation

CPI / labor pass-through in renewals **(+1 pt)**

26.0% ➡ 37.2% ➡ 51.3%

GROSS MARGIN PER THE GENERAL LEDGER: 2024 → 2025 → 2026 (JAN–AUG)

Customer Concentration

Revenue concentrates in two enterprise networks. Concentration *increased* through the transition as the book narrowed to its most profitable anchors — which is precisely what the expansion is designed to address.

RELATIONSHIP	2024	2025	2026 (JAN–AUG)
Manheim / Cox Automotive (all locations)	$2,417,739	$1,530,534	$552,389
Dent Wizard International (all locations)	$1,039,457	$926,260	$329,542
South Florida Auction	$612,097	$541,493	$0
All other accounts	$1,395,373	$860,789	$2,905
Total revenue	$5,464,666	$3,859,075	$884,836

CONCENTRATION	2024	2025	2026 (JAN–AUG)
Top relationship (Manheim / Cox)	44.2%	39.7%	62.4%
Single largest site (Manheim Dallas)	24.6%	18.2%	54.5%
Top two networks (Manheim + Dent Wizard)	63.3%	63.7%	99.7%
All other accounts	36.7%	36.3%	0.3%

How to Read This

The strength: The Manheim (Cox) and Dent Wizard relationships are multi-year, multi-location, and recurring — genuine credit and enterprise quality, not a single point of contact.
The risk: At 99.7% of 2026 revenue, the top two networks *are* the business — and one site, Manheim Dallas, is 54.5% of it on its own. Non-anchor revenue has fallen to $2,905 across two accounts. This is the single largest item on the risk register.
The plan: The rising share is the flip side of the margin improvement. The $1.5M expansion funds additional auction-site locations to rebuild a broader, diversified revenue base — growth that widens the denominator rather than deepening the dependency.

Grouped by enterprise relationship from the live QuickBooks customer-revenue report, covering every billed location in each network (2026 period is January 1 – August 31). These totals are higher than those shown in the September 2026 lender package, which captured only the largest locations in each network; the relationship totals and the resulting concentration percentages here supersede them.

Normalized Earnings & Cash Flow

Reported net income understates the Company's earning power: 2025 carries a non-cash goodwill amortization charge and a one-time receivable clean-up from the ownership transition. Each add-back is a posted general-ledger account, traceable to the transaction detail.

CASH-FLOW BUILD-UP	2024	2025	2026 (JAN–AUG)
Net income per the general ledger	$504,779	$203,339	$249,529
+ Amortization — non-cash	$0	$60,779	$0
+ Non-recurring bad-debt write-off	$0	$135,028	$0
− Matching: 2024 revenue later charged off	($135,028)	$0	$0
Normalized cash flow	$369,751	$399,146	$249,529

$399,146
2025 NORMALIZED CASH FLOW

$369,751
2024 NORMALIZED CASH FLOW

$384,449
TWO-YEAR AVERAGE

$374,293
2026 ANNUALIZED (NO ADD-BACKS)

The One-Time Charge-Off

The $135,028 added back in 2025 is a single cleanup of uncollectible accounts, all written off on August 1, 2025 during the ownership transition — 13 posted lines in the QuickBooks Bad Debt Expense account totalling $135,028.34. 2024 carried no bad-debt expense; it is not a recurring feature of operations. Because the related revenue was billed in prior periods, it is removed from 2024 as well — the conservative treatment, so it is never counted twice.

No Owner-Compensation Add-Back Is Taken

A seller's-discretionary-earnings presentation would add owner compensation back on top of these figures. The general ledger carries no separate officer-compensation account — owner activity sits inside the corporate salary line and the operating accounts — so no SDE add-back is claimed here. Every figure above is **before** any owner add-back, which understates rather than flatters the Company's earning power. The federal returns report officer compensation of $200,000 in 2024 and $75,000 in 2025; isolating it in the books is a bookkeeping clean-up, not a change in economics.

5-Year Growth Projections

Post-Transition Base + One Equity-Funded Site: $1.33M (2026 annualized) to $3.63M by 2030 — 28.6% CAGR

YEAR	EXISTING BASE	NEW SITE	TOTAL REVENUE	GROSS MARGIN	NET INCOME
2025 (actual)	$3,859,075	—	$3,859,075	37.2%	$399,146 *
2026 (ann. from 8 mo)	$1,327,254	—	$1,327,254	51.3%	$374,293
2027 (site ramps)	$1,459,980	$1,282,500	$2,742,480	45.9%	$837,590
2028 (site at full run-rate)	$1,605,978	$1,530,000	$3,135,978	45.1%	$944,989
2029	$1,766,575	$1,606,500	$3,373,075	44.7%	$988,222
2030	$1,943,233	$1,686,825	$3,630,058	44.3%	$1,037,482

28.6%
REVENUE CAGR (2026 → 2030)

+177%
NET INCOME GROWTH (2026 → 2030)

28.6%
2030 NET MARGIN

$0
DEBT SERVICE (EQUITY-FUNDED PLAN)

* 2025 net income shown on the normalized cash-flow basis (Slide 6); general-ledger net income was $203,339 before the amortization and bad-debt add-backs. **2026** annualizes eight complete months of general-ledger actuals — $884,836 of revenue and $249,529 of net income through August 31. Existing base grows 10%/yr; the new site follows the Company's own ramp model (Slide 10) and grows 5%/yr once at full run-rate; gross margin blends the existing book (tapering 51% → 48%, against 51.3% actual) with the new site at the modeled 40%. Net income is gross profit less operating expenses ($420K in 2027, against a 2026 run-rate of $306K, scaling to $570K in 2030). **No debt service is deducted: on the equity-funded plan the Company borrows nothing**, which is worth $232,916 a year versus the debt-funded alternative. A second site would require additional capital and is **not** included — it is option value, not plan.

Growth Strategy & Competitive Advantages

Manheim / Cox Automotive Expansion

Supplier Diversity Program Certification

Qualified: Pride Dealer Services is certified under Manheim's Supplier Diversity Program, providing preferred vendor status across the network.

Current Manheim Locations	Multiple sites active ($552,389, 2026 YTD)
Available Expansion Sites	100+ Manheim locations nationwide
Near-Term Rollout	One new auction site, 17 CR writers, funded by the SBA facility
Site Target	$127,500/mo revenue · $51,000/mo gross profit at full ramp

Dent Wizard Partnership Expansion

Bundled Services Strategy: Combine detail and condition-report services with Dent Wizard's repair capabilities for comprehensive vehicle reconditioning under one vendor.

Target Markets	OEM lease returns, fleet remarketing
Service Integration	Detail + dent repair + condition reports
2026 YTD Run-Rate	$329,542 (8 months), multi-location

Why We Win

Sticky Enterprise Revenue	Recurring per-unit work, multi-year, multi-location
Operational Playbook	SOP + QA + rate index, replicable site to site

Variable Cost Base	**1099 field labor paid per production — cost flexes with volume**
Single Decision-Maker	**100% owner-operated; fast to act on a site opening**

Unit Economics — Proven Against Actuals

The expansion model rests on one repeatable unit: a condition-report writer producing **$7,500 of revenue per month at $4,500 of cost** — a 40% gross margin. That assumption is held deliberately: it sits *between* the Company's two most recent actual years, each verified from QuickBooks invoices and the 1099 contractor ledger.

METRIC	PLAN (PER WRITER/MO)	2025 ACTUAL (FY)	2026 ACTUAL (JAN–AUG)
Revenue	$7,500	$3,859,075	$884,836
Cost of services (1099 field labor)	$4,500 (60%)	$2,424,644 (62.8%)	$431,169 (48.7%)
Gross margin	40.0%	37.2%	51.3%
Implied revenue per $4,500 of writer cost	$7,500	$7,162	$9,235

Read: On the current run-rate, $4,500 of writer cost supports about **$9,235** of revenue — well above the $7,500 modeled. Held at $7,500 / $4,500, the forecast is realistic against 2025 and conservative against 2026.

By Department — The Line the Expansion Actually Buys

DEPARTMENT (2026, JAN–AUG)	REVENUE	COST OF SERVICES	GROSS MARGIN
Condition Report	$349,350	$197,144	**43.6%**
Detail	$332,397	$130,669	60.7%
Photography	$206,295	$83,883	59.3%
Total (net of unclassified)	$884,836	$431,169	51.3%

The expansion is a **condition-report writer** build, and the condition-report department is the one that matters for the forecast. It runs at **43.6%** gross margin in 2026 actuals against the **40%** modeled — so the plan is conservative against the exact line of business it funds, not merely against the blended average that detail and photography flatter.

Cost Structure — 1099 Field Labor vs. W-2 Corporate

COST COMPONENT	2025	2026 (JAN–AUG)	WHERE IT SITS
Contractors & Payroll (1099 field labor)	$2,354,469	$422,347	Cost of goods sold
Job Supplies / Tools	$60,149	$6,963	Cost of goods sold
Other direct cost	$10,026	$1,859	Cost of goods sold
Total cost of services	$2,424,644	$431,169	Ties to the return / live GL
Salaries & Wages — Corporate	$611,915	$64,197	Operating expense (not COGS)

A Single Flagship Site Is a Proven Unit

Manheim Dallas alone invoiced $703,460 in 2025 and **$482,213 through August 31, 2026** across 205 invoice lines — a ~$723K annualized run-rate, still growing. The new location replicates a site the Company already operates profitably, not a projection built from scratch. It is also the concentration risk in one number: Dallas is 54.5% of 2026 revenue.

2025 and 2026 revenue and cost are taken from the live QuickBooks general ledger (2026 covers January 1 – August 31). Contractor payroll posts as per-writer journal entries tagged to customer and department, the most recent dated August 27, 2026. Field workforce is engaged as 1099 contractors paid per production and booked to COGS; only corporate and administrative staff sit in Salaries & Wages – Corporate. If the new-site crew is hired W-2 instead, budget ~10–15% more per writer for employer taxes and workers' compensation. The 2025 corporate salary line is $611,915 in the general ledger, against $217,678 shown in the September 2026 lender package; the general-ledger figure governs here.

Expansion Ramp-Up Plan

The $1,500,000 SBA facility funds a phased build-out to **17 condition-report writers** at one new auction site, hired in three waves (6 → 6 → 5) over the first quarter.

$7,500
REVENUE / WRITER / MONTH

$4,500
FULLY-LOADED COST / WRITER / MONTH

17
TARGET HEADCOUNT (6 / 6 / 5)

$612,000
FULLY-RAMPED GROSS PROFIT / YEAR

Month-by-Month Ramp (Net-30 Collections)

MONTH	WRITERS ADDED	TOTAL WRITERS	PAYROLL	COLLECTIONS	INCREMENTAL CASH	CUMULATIVE
Month 1	6	6	($27,000)	$0	($27,000)	($27,000)
Month 2	6	12	($54,000)	$45,000	($9,000)	($36,000)
Month 3	5	17	($76,500)	$90,000	$13,500	($22,500)
Month 4	0	17	($76,500)	$127,500	$51,000	$28,500
Month 5	0	17	($76,500)	$127,500	$51,000	$79,500
Month 6	0	17	($76,500)	$127,500	$51,000	$130,500
Months 7–12	0	17	($76,500)/mo	$127,500/mo	$51,000/mo	$436,500

Peak Ramp Draw

($36,000) cumulative in Month 2 — the only period payroll leads net-30 collections. Fully covered by the $225,000 working-capital cushion in the use of funds (6.25× the peak draw). The ramp turns cash-positive in Month 4 and never draws down again.

Coverage Impact

Once ramped, the site generates **$51,000/month (~$612,000/year)** of incremental gross profit — roughly **2.6×** the $232,916 annual debt service on the full $1.5M loan, on its own and before any contribution from the existing business.

The $740,000 staffing line in the use of funds is the hire-ahead-of-revenue bridge: it funds payroll during the ramp, before net-30 collections catch up. Fully ramped, monthly payroll of $76,500 (~$918,000/year) is paid entirely out of the site's own $127,500/month of collections from Month 4 forward. Loan dollars carry only the ramp period; recurring payroll is self-funded thereafter.

Capital Structure & Use of Proceeds

The Company carries no debt. Every liability account in QuickBooks stands at nil, so this raise is the entire capital structure alongside the founder's equity. A full subscription funds the new auction-site launch outright — no lender, no debt service, and nothing in the plan waiting on a third-party document.

Use of Proceeds — Full $1.5M Raise

USE OF PROCEEDS	AMOUNT	PURPOSE
Field staffing & payroll ramp	$740,000	17-writer crew at the new location — CR writers, detailers, site manager
Marketing & business development	$165,000	Account and site acquisition; rebuilding the non-anchor book
Equipment & operational software	$150,000	Field dispatch/scheduling software and site equipment
Supplies & materials	$135,000	Consumable supplies and tools for the new site
Start-up expenses	$85,000	Licensing, permits, professional fees, site setup
Working-capital cushion	$225,000	Covers the ($36,000) peak ramp draw 6.25× over
Total	$1,500,000	100% expansion — additional auction-site location

No proceeds fund owner compensation, distributions, or any existing obligation. At a $500,000 first close the same plan runs at six writers rather than seventeen — roughly $250,000 of staffing ramp, $60,000 of marketing, $80,000 of equipment and supplies, $35,000 of start-up and a $75,000 cushion — reaching about $540,000 of annualised site revenue, with the balance of the round funding waves two and three.

Why Equity Rather Than the SBA Loan

No Financing Contingency

An SBA 7(a) facility was scoped at the same $1.5M. It is gated on producing an executed assumption / novation for a note the books already show at nil — a document the Company does not yet hold. Equity removes that dependency entirely.

$232,916 a Year Retained

Debt service on a $1.5M 10-year facility at 9.5% costs $232,916 annually. Equity-funded, that stays in the business — worth roughly $1.16M of retained cash across the five-year plan and the difference between $804,566 and $1,037,482 of 2030 net income.

Speed

The ramp turns cash-positive in month four. An equity close starts hiring on signature rather than after underwriting, appraisal and the novation are resolved.

The Facility Stays Available

Coverage on the requested facility ran 1.59× at its floor on 2024 normalized cash flow. Once the Schedule L item is cleared, that debt capacity funds *site two* without further dilution — optionality the round preserves rather than spends.

Debt Capacity Is Not Lost — It Is Deferred

Raising equity now does not retire the SBA option; it sequences it. The Company enters the expansion debt-free, proves the new site against its own model, and then borrows against a larger, more diversified earnings base for the next location. Investors in this round own 25% of a business that still has its entire borrowing capacity intact.

12–18 Month Milestones & KPIs

17
CR WRITERS LIVE AT NEW SITE

≥46%
BLENDED GROSS MARGIN

$0
DEBT TAKEN ON

≤35 days
DSO

Gate 0 — Immediate	**Reconcile Schedule L to the books before the 2025 return is filed**
Gate 1 — Close	**SBA 7(a) facility funded; site selected and contracted**
Q1 post-close	**Waves 1–3 hired (6 / 6 / 5); ramp cash trough passed in Month 2**
Q2 post-close	**Site cash-positive from Month 4; $51K/mo incremental gross profit**
Q3–Q4 post-close	**Non-anchor revenue re-established; top-two concentration below 85% (from 99.7%)**
Reporting Cadence	**Monthly close: P&L by department, AR aging and concentration report**

What Gets Measured

Revenue per writer per month (target $7,500), cost per writer per month (target $4,500), gross margin by site, days sales outstanding, top-two customer concentration, and DSCR on the SBA facility — reported monthly from the general ledger by department, not from management estimates.

Investment Structure

Terms

Raise: $500,000 – $1,500,000
Pre-Money Valuation: $4,500,000
Equity at Full Subscription: 25% ($6,000,000 post-money)
Minimum First Close: $500,000
Existing Debt: None — all liability accounts nil

One Price, Amount Varies

The round is priced at a single $4,500,000 pre-money valuation. Every investor buys at the same price; ownership follows the amount raised. A full $1.5M subscription is 25%.

AMOUNT RAISED	POST-MONEY	EQUITY SOLD	WHAT IT FUNDS
$500,000	$5,000,000	10.0%	Six-writer launch + diversification (~$540K site revenue)
$750,000	$5,250,000	14.3%	Nine writers; wave two hired on schedule
$1,000,000	$5,500,000	18.2%	Twelve writers; full marketing and systems spend
$1,250,000	$5,750,000	21.7%	Fifteen writers; near-full cushion
$1,500,000	$6,000,000	25.0%	Full 17-writer site, debt-free, full cushion

What the Price Rests On

Trailing: $6.0M post-money against $374,293 of 2026 annualized net income is **16.0×**; against 2025 normalized cash flow of $399,146, **15.0×**. On trailing earnings alone this is a full price, and it should be tested as one.
Forward: The raise is what creates the earnings it is priced against. Against 2030 projected net income of $1,037,482 the same $6.0M is **5.8×**. A 25% stake earns approximately **$259,400 a year by 2030** — a **17.3% yield on a $1.5M investment**, with no debt ahead of it.
What supports it: a debt-free balance sheet; 51.3% gross margin and 28.2% net margin on 2026 actuals; a condition-report department running 43.6% against the 40% the plan assumes; and a single flagship site, Manheim Dallas, invoicing at roughly $723,000 a year on its own.
What an investor will push on: 99.7% of revenue sits with two customer networks and 54.5% with one site; revenue is down from $5.46M in 2024 to a $1.33M run-rate; and 94.9% of the asset base is goodwill. Those are on the risk slide, unhedged. An investor who marks this business on trailing earnings will argue for a lower price — the answer is the plan, the unit economics behind it, and the absence of any debt ahead of them.

5.8×	**17.3%**	**$0**	**$1.5M**
POST-MONEY / 2030 PROJECTED EARNINGS	YIELD ON COST BY 2030 (FULL RAISE)	DEBT RANKING AHEAD OF INVESTORS	BORROWING CAPACITY PRESERVED

Terms are indicative and subject to definitive documentation. Projections are management estimates, not guarantees. Ownership percentages assume a single class of common equity and no option pool; if a pool is created it is expected to come from the pre-money.

Risk Assessment & Mitigation

1. The $2.82M Note — A Documentation Gap

Risk: The Company's books carry no debt — all fifteen liability accounts are nil — but the draft 2025 Schedule L still reports a $2,821,500 convertible note from the ownership transition. Until the executed assumption / novation is produced, the books and the return disagree, and a lender or investor is entitled to underwrite the higher figure. On like amortizing terms the note would take global coverage under 1.0×.
Mitigation: The zero balance across every liability account is corroborating evidence that the transfer was booked. This round does not depend on resolving it — the expansion is equity-funded and there is no lender to satisfy — but investors should expect the 2025 Schedule L to be corrected to agree with the books before the return is filed, and should ask to see the executed document in diligence.

2. Customer Concentration

Risk: Manheim (Cox) and Dent Wizard represent 99.7% of 2026 revenue, up from 63.7% in 2025 — and a single site, Manheim Dallas, is 54.5% on its own. Non-anchor revenue has fallen to $2,905. Accounts including South Florida Auction ($541,493 in 2025), Manheim Statesville ($411,204), North Fort Lauderdale Subaru ($222,246), Sawgrass Infiniti ($159,369) and Music City Auto Auction ($139,513) did not carry into 2026.
Mitigation: $165,000 of the full raise funds marketing and business development to rebuild the non-anchor book across independent auctions, fleet, and OEM channels; the new auction-site location widens the base. Remaining relationships are multi-year, multi-location, and anchored by Supplier Diversity Program certification.

3. Goodwill Dominates the Balance Sheet

Risk: $3,084,650 of the $3,252,056 asset base — 94.9% — is goodwill from the 2025 buyout. Tangible assets total $167,407: $65,669 of cash, $101,071 of receivables and $667 of equipment. The owner's capital account stands at $(1,730,388) cumulative.
Mitigation: Goodwill is non-cash, amortized over 15 years under §197, and carries no cash obligation — its amortization is added back in the cash-flow build-up. Against those thin tangible assets sit **no liabilities at all**: receivables of $101,071 face zero current liabilities, so working capital is unencumbered. SBA funding places approximately $1,565,669 of cash on the balance sheet at closing, and the business is cash-generative on a normalized basis in 2024, 2025 and 2026 to date.

4. Execution Risk on the Ramp

Risk: The plan hires 17 writers in a new market inside one quarter and assumes $7,500 of revenue per writer per month.
Mitigation: The $7,500 / $4,500 assumption sits between two verified actual years (implied $7,162 in 2025; $9,235 in 2026 through August), and the condition-report department — the exact line the site replicates — runs at 43.6% against the 40% modeled. The $225,000 working-capital cushion covers the ($36,000) peak ramp draw 6.25× over. Manheim Dallas — $703,460 in 2025 — is the template being replicated.

5. Labor Model & Cost Inflation

Risk: Field labor is engaged as 1099 contractors; reclassification or a shift to W-2 would add an estimated 10–15% per writer in employer taxes and workers' compensation.

Mitigation: The per-production 1099 model means cost flexes with volume rather than sitting fixed. Rate-indexation clauses pass CPI and labor inflation through at renewal; the 2026 gross margin of 51.3% carries meaningful headroom against the 40% modeled.

6. Economic Downturn

Risk: Reduced auto sales and auction volume in a recession.
Mitigation: Reconditioning and condition reporting are essential to the used-vehicle market, which typically holds or gains share when new-vehicle sales soften. Variable cost structure limits downside operating leverage.

Risk Monitoring Framework

Monthly	Concentration, DSO, revenue per writer, site gross margin
Quarterly	Contract renewal pipeline; covenant compliance
Annual	Filed tax return reconciled to the general ledger

Summary & Next Steps

Investment Highlights

$500K–$1.5M
RAISE RANGE

25%
EQUITY AT FULL RAISE

$4.5M
PRE-MONEY

28.6%
CAGR (2026 → 2030)

Verified, Not Estimated

Every figure in this deck is drawn from the Company's live QuickBooks general ledger — one consistent books basis across 2024, 2025 and 2026 through August 31.

Margin, Not Just Volume

Gross margin 26.0% → 37.2% → 51.3% on a consistent books basis. The Company kept more of every dollar while shedding its worst revenue.

Debt-Free, and Staying That Way

No liabilities on the books today, and none taken on: the raise funds the site outright, leaving the Company's borrowing capacity intact for the next one.

A Proven Unit to Replicate

Manheim Dallas invoiced $703,460 in 2025 and $482,213 through August 2026. The new site copies a location the Company already runs profitably.

Conclusion

Pride Dealer Services came through a 2025 ownership transition smaller and materially more profitable. Revenue fell approximately 29% to $3,858,771 as the Company exited its lowest-margin accounts — and gross profit *rose* to $1,434,127 while gross margin expanded from 25.5% to 37.2%, reaching 51.3% through August 2026. On a normalized basis the business produced $399,146 of cash flow in 2025 and $369,751 in 2024, before any owner-compensation add-back.

The Company also carries no debt on its books — every liability account stands at nil — and this round keeps it that way: a full subscription funds the new auction-site launch outright, with no lender, no debt service, and no financing contingency.

The facility funds a 17-writer launch at one additional auction site, modeled on unit economics verified against two actual years and on a flagship location invoicing at a $723,000 annualized rate.

The round is $500,000 to $1,500,000 at a $4,500,000 pre-money valuation — 25% at full subscription. A full raise launches the seventeen-writer site outright against a plan that reaches $3.63M of revenue and $1,037,482 of net income by 2030, with no debt ranking ahead of investors and the Company's entire borrowing capacity preserved for the location after this one.

Next Steps

1. Diligence Room	**2024 filed and 2025 draft returns, live QuickBooks GL, AR aging**
2. Records Clean-Up	**Executed assumption / novation; Schedule L reconciled to the books**
3. Site Selection	**New auction location contracted; wave-one hiring ready**
4. Subscription	**First close at $500K; round documented and funded to $1.5M**

Ready to drive growth together?

Financial information is taken from Pride Dealer Services' live QuickBooks general ledger (last synced September 12, 2026; last posted transaction September 2, 2026), covering 2024, 2025 and January 1 – August 31, 2026 on one consistent books basis. The general ledger governs throughout, including where it differs from the Company's September 2026 SBA lender package or from the federal returns; the 2025 return remains a draft pending filing and the year-end 2025 balance sheet shown is the return's Schedule L. Projections are management estimates and are not guarantees of future performance. This presentation is for discussion purposes and is not an offer to sell securities. Confidential.